NATIONAL ASSEMBLY 7TH PARLIAMENT

THE PARLIAMENTARY STANDING COMMITTEE ON PUBLIC ACCOUNTS

REPORT ON THE ACCOUNTS OF THE MINISTRY OF DEFENCE AND VETERAN AFFAIRS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2019

REPORT NO.3 OF 2024

Table of Contents

1. INTRODUCTION 4
1.1 Composition of the Committee 4
1.2 Mandate of the Committee 5
1.3 Review process 5
1.4 Purpose of the Report 6
1.5 Review and assessment of the Report 6
2. Auditors' findings and the Committee's concerns 7
2.1 Financial audit 7
2.2 Main Concern: Scope limitation 7
2.3 Question 1 7
2.4 Response by the Accounting Officer 7
2.5 Committee Evaluation: 7
2.6 Committee Recommendation: 8
2.7 Main concern: Non-reporting of Outstanding Commitments 8
2.8 Question 2 8
2.9 Response by the Accounting Officer 8
2.10 Committee Evaluation 8
2.11 Committee Recommendation 8
3. Main Concern: Bursaries and Study Assistance 9
3.1 Question 3 9
3.2 Response by the Accounting Officer 9
3.3 Committee Evaluation 10
3.4 Committee Recommendation 10
4. Main concern: Bills Payable 10
4.1 Question 4 11
4.2 Response by the Accounting Officer 11
5. Main concern: Outstanding Subsistence advance 11
5.1 Question 5 11
5.2 Response by the Accounting Officer 11
5.3 Committee Evaluation 11
5.4 Committee Recommendation 12
6. Main Concern: Unauthorized expenditure 12
Compliance audit 12
6.1 Question 6 12

6.2 Response by the Accounting Officer 13
6.3 Committee evaluation 13
6.4 Committee recommendation 13
6.5 Question 7 14
6.6 Response by the Accounting Officer 14
6.7 Committee Evaluation 14
6.8 Committee recommendation 14
7. Main concern: Stocktaking 15
7.2 Response by the Accounting Officer 15
7.3 Committee Evaluation 15
7.4 Committee recommendation 15
8. Main concern: Debts to the Government 15
8.1 Question 9 15
8.2 Response by the Accounting Officer 16
8.3 Committee Evaluation 16
8.4 Committee recommendation 16
9. Main concern: exemption from normal procurement procedures 16
9.1 Question 10 17
9.2 Response by the Accounting Officer 17
9.3 Committee Evaluation 18
9.4 Committee recommendation 18
10. Key performance indicators (KPI) audit 18
10.1 Main concern: non-submittal of information 18
10.2 Question 11 18
10.3 Response by the Accounting Officer 19
10.4 Committee Evaluation 20
10.5 Committee recommendation 20
11. Conclusion 20
12. Additional recommendations 21

1. INTRODUCTION

This report of the Parliamentary Standing Committee on Public Accounts presents the outcomes of the Committee's review, assessment and examination of the Ministry of Defence and Veteran Affairs audited report for the financial years ended 31 March 2019 as tabled in the National Assembly by the Minister of Finance. The Committee focused its attention on the disclaimers and adverse audit opinions.

The Committee evaluated responses provided by the Accounting Officer and where the responses were found not to be satisfactory further requests were made for clarifications. The Committee also conducted public hearings in terms of Article 63(2) (f) of the Namibian Constitution which gives the Committee powers to invite any official to appear before it and to account for and explain his or her acts and programmes.

This report, therefore, presents all the concerns, observations and issues raised during the review, examination and hearing process as well as the responses of the Accounting Officer on the explanations required.

1.1 Composition of the Committee

The Committee was comprised of the following Members, namely Hon Dudu Murorua-Chairperson, Hon Helaria Mukapuli- Deputy Chairperson, Hon Dr Tangeni Iijambo, Hon. Modestus Amutse, Hon. Vincent Mareka, Hon. Leevi Katoma, Hon. Emilia Amupewa, Hon. Julieta Kavetuna and Hon. Gotthard Kandume. Members of the Secretariat were Mr Ndaningaweni Protasius Nghileendele, Ms Theresa Philimon (late), Mr Johan Frederick and Mr Geoffrey Muhinda. The Committee was provided with technical assistance by officials of the Office of the Auditor-General which included Mr. Goms Menette, Deputy Auditor-General, Mr. Blessing Nyandoro, Mr. Elias Tuaire, Mr. Shali Kapepo, Ms. Grace Nelwamondo, Ms. Sithembile Mpofu, Ms. Christell Nassauw and Mr. Jonathan Hamulungu.

1.2 Mandate of the Committee

In terms of Rule 69 of the Standing Rules and Orders of the National Assembly, the Parliamentary Standing Committee on Public Accounts has the duty to examine, consider and report on:

(a) The accounts showing the appropriation of the sums granted by Parliament to meet public expenditure of the Republic;

(b) Such other accounts, reports and any other matter or task as may be referred to the Committee by the National Assembly, or under any other law;

(c) All reports of the Auditor-General on any such accounts;

(d) All accounts and reports of accounts where the State has interests; and;

(e) All State-Owned Enterprises and Parastatals.

The Committee is required to report on its findings and make its recommendations to the National Assembly for consideration, debates and adoption.

Upon adoption of the report and recommendations by the National Assembly, the Committee has a duty to report progress on the implementation of the recommendations within six months of their adoption.

1.3 Review process

Members met in Otjiwarongo from 16 to 23 May 2021 to review the reports tabled by the Minister of Finance and referred to the Standing Committee on Public Accounts for further scrutiny. In total, the Committee reviewed twelve (12) reports and upon assessment agreed to invite for public hearings only those institutions issued with disclaimer or adverse audit opinions. This is how the Ministry of Defence and Veteran Affairs was selected. Preceding these public hearings, letters were written to obtain further clarity on issues raised in the management letter as formulated by the Office of the Auditor-General and contained in the audit report. On 27 September 2021, the Committee wrote a letter to the Accounting Officer of the Ministry of Defense and Veteran Affairs requesting written responses on matters

raised under point five (5) of this report as well as supporting documents which were provided on 14 October 2021.

The responses and supporting documents were reviewed by Members, Deputy Auditor-General, staff members of the Office of the Auditor-General and the Secretariat of the Public Accounts Committee from 12 to 13 November 2021. In view of the inadequate responses received, the Committee unanimously decided to invite the Accounting Officer and senior officials of the Ministry of Defence and Veteran Affairs to a public hearing which took place on 30 November 2021.

For the first time, a public hearing of the Public Accounts Committee was livestreamed to members of the public which enabled them to follow proceedings in real time as well as to participate in the democratic process of the oversight function by making their comments in the chat box.

1.4 Purpose of the Report

The purpose of this report is to report back to the National Assembly on the outcomes of the review, findings, assessment and examination of audited report of the Ministry of Defence and Veteran Affairs for the financial year ended 31 March 2019 for discussion and adoption.

After, the adoption of the report, the Committee will follow-up to obtain feedback from the Ministry on the implementation of recommendations made by the Public Accounts Committee.

1.5 Review and Assessment of the Report

Ministry of Defence and Veteran Affairs was given a disclaimer audit opinion for the period under review due to scope limitation. Meaning the Office of the Auditor-General was not given access to inspect and verify receipts against the actual equipment procured or repaired by the Ministry.

2. Auditors' findings and the Committee's concerns

2.1 Financial audit

2.2 Main Concern: Scope limitation

During the audit process, auditors were denied access to military equipment and permission to enter the operational military bases by the Accounting Officer resulting in the scope limitation of their audit.

2.3 Question 1

The Committee enquired about the status of the denial of access and whether it remained in force at the time of the hearing. In addition, the Accounting Officer was requested to explain her interpretation of the provision of Section 26(1) (b) (i) of the State Finance Act 31 of 1991 and its implication on the work performed by the Office of the Auditor-General.

The Accounting Officer was further asked to explain why the Ministry arbitrary denied the auditors access to execute their mandates while the President is the only one mandated to do so after consultation with the Auditor-General.

2.4 Response by the Accounting Officer

The Accounting Officer said the Ministry did not have a problem with the overall auditing of its books, accounts and assets. The Ministry only has a problem with the inspection relating to the auditing and publishing of Key Performance Indicators (KPIs) on performance information which included the verification on the state of military equipment and the readiness of the Namibian Defence Force. She stated further that the Ministry and the Office of the Auditor-General had engaged and had reached a common ground on the matter.

2.5 Committee evaluation

The Committee took note of the Accounting Officer's response. However, it was reaslised that the Accounting Officer did not take into account the provisions of Section 26(1) (b) (i) of the State Finance Act (Act 31 of 1991).

It was therefore, concluded that access was denied without following proper procedures despite the fact that auditors are vetted after every five years in order to safeguard the sensitive nature of the operations of the Ministry. Ultimately, the invoices amounting to five hundred and six million Namibia Dollars (N$506 000 000) could not be verified on the grounds of fear that the auditors would inspect the capability of the equipment which the Executive Director claimed could put the military at risk if such information is divulged to the public.

2.6 Committee recommendation

The Committee recommends that Section 26(1) (b) (i) of the State Finance Act 31 of 1991 be strictly adhered to and auditors should be granted unfettered access to what they need to perform their work in future.

2.7 Main concern: Non-reporting of Outstanding Commitments

The Ministry reported zero outstanding Commitments while they paid them in the subsequent financial years.

Specifically, the Accounting Officer reported outstanding commitments amounting to N$ 29 706 011.37 dating back from the 2013/2014 financial year to the year under review. From 2013/2014 to 2017/2018 financial years, the Accounting Officer reported no outstanding commitments. Nevertheless, Treasury granted approval for these outstanding commitments to be paid.

2.8 Question 2

The Committee asked about control measures put in place to ensure that all outstanding commitments were reported in future, as per the approval by the Minister of Finance.

2.9 Response by the Accounting Officer

The Accounting Officer responded that stringent internal control measures, including improved record keeping in commitment registers, monthly accounts reconciliation, improved follow up with suppliers of goods and services as well as frequent reconciliation of Funds Distribution Certificates (FDC's) were put in place to ensure that all outstanding commitments are reported annually to the Office of the Auditor-General.

2.10 Committee evaluation

The Committee acknowledged the response by the Accounting Officer and measures put in place to deal with outstanding commitments.

2.11 Committee recommendation

The Committee recommends that the Office continues to adhere to Treasury Instructions **Number D G 0208 and H B 0201**.

3. Main Concern: Bursaries and Study Assistances from Capital Project Budget

The Accounting Officer reported that a total amount of N$ 10 490 209.02 was spent on study assistance, assessment fees and incidental allowances for staff members who studied for qualifying courses. However, the General Ledger reflects that a total amount of N$ 12 172 482.47 was incurred. This has resulted in an unexplained difference of N$ 1 682 273.45.

3.1 Question 3

The Accounting Officer was asked why she failed to explain the difference of N$ 1 682 273.45 between what she reported and what was reflected in her General Ledger. The Committee further enquired whether Treasury approval was sought for and granted to use funds allocated for capital projects to pay local and foreign subsistence and travel allowances.

The Accounting Officer was also requested to furnish PAC with the necessary proof (agreement) authorizing the Ministry to pay subsistence as part of the capital as well as proof of authorisation by the National Planning Commission (NPC).

3.2 Response by the Accounting Officer

The Accounting Officer responded that she did not agree with the findings of the auditors. She explained that the total amount spent on study assistance actually increased with an amount of N$ 7,498.40 from N$ 10,482, 710.62 as reported to NS 10,490,209.02. Tuition fees for one student were wrongly reported as N$ 100,940.00, while the actual amount paid was N$ 108,438.40, thus, an increase of N$ 7,498.40.

a) She continued that the amount claimed by the auditors to be unexplained are made up of six (6) students' tuition fees and incidental allowances who were bursary and study assistance beneficiaries. These were paid from the Research and Development capital project reported under Statement 23, the amount involved was NS 422 608.24.

b) She further explained that incidental allowances paid to thirty-four (34) military officers who underwent military training in various countries have nothing to do with bursary and study assistance. Therefore, they were not supposed to be reported under Statement 23. These were also paid from the Research and Development capital project. The amount involved was NS 1 370 788.11.

Furthermore, she stated that the auditors also wrongly calculated the total amount of "payment of bursaries and study allowances from Development capital expenditure" as N$ 1,853,681.85, while it should be N$ 1,793,396.35 (total of (a) and (b) mentioned above).

Therefore, the amounts recoded in the General Ledger and provided to the Office of the Auditor-General were not solely for bursaries and study assistance, but had also included amounts for military trainings budgeted under the Research and Development Capital Project which were reflected under the same sub-division.

The amounts of N$422 608.24 and of N$1 370 788.11 paid to thirty-four (34) military officers amounting to N$1 793 396.35 were queried and wrongly stated in the General Ledger by the Ministry. These amounts recorded under sub-division, twenty-seven (27) are also used to pay for local as well as foreign subsistence and travel allowances for military personnel to learn how certain equipment are operated and repaired during the manufacturing stage which is part of capital projects.

3.3 Committee evaluation

The Committee took note of the accounting Officer's reply. However, it was noted that the Accounting Officer could not explain the difference of N$ N$ 1 682 273.45 and merely deviated from answering the question.

3.4 Committee recommendation

It is recommended that the Accounting Officer should ensure that the content of the financial statements should be similar to that of the General Ledger. Furthermore, it is recommended that prior authorisation should be obtained from Treasury as well as the National Planning Commission before utilising money allocated for the capital development budget as stipulated in **Treasury Instructions number BB 010**.

4. Main concern: Bills Payable

The Bills Payable Suspense Account reflected a debit balance of N$ 410 541.09, whereas this suspense account should have had a credit balance. It was reported in the 2017/2018 financial year that, the Bills Payable Suspense Account also reflected a debit balance of N$ 920 785.34, however, no improvement was evident. In his comment on the draft audited report, the Accounting Officer indicated that the Ministry issued a letter of concern on this matter to the Ministry of Finance and Public Enterprises, but the Ministry did not respond at the time of writing this report.

4.1 Question 4

The Accounting Officer was asked if she received a response from the Ministry of Finance and Public Enterprises, and if so, to provide a copy of the response to the Committee.

4.2 Response by the Accounting Officer

The Accounting Officer responded that a letter of concern from the Ministry of Defence to the Ministry of Finance and Public Enterprises, and copied to the Office of the Audit-General, dated 28 September 2018 was never responded to.

5. Main concern: Outstanding Subsistence Advances

The Accounting Officer reported that the Debit Balance List had an outstanding amount of N$ 15 941.91 as of 31 March 2019, and the Subsistence and Travel advance suspense account had a closing balance of N$ 473 826.41 resulting in an unexplained difference of N$ 457 884.50. In the 2016/2017 and 2017/2018 financial years, similar findings were reported. Despite these findings been raised in previous reports, no improvement was evident. The reconciliation that was performed did not indicate a breakdown of what makes up the difference of N$ 457 884.50. In his comment on the draft audited report, the Accounting Officer indicated that the Ministry issued a letter of concern on this matter to the Ministry of Finance and Public Enterprises, but it did not respond at the time of writing this report.

5.1 Question 5

The Accounting Officer was asked to explain the difference of N$ 457 884.50 between the debit balance list and Subsistence and Travel advance suspense account, and whether she received the explanation she sought from the Ministry of Finance and Public Enterprises.

Furthermore, the Accounting Officer was asked whether she performs reconciliations and how often was this exercise carried out.

5.2 Response by the Accounting Officer

The Accounting Officer once again informed the Committee that a letter of concern by the Ministry of Defence to the Ministry of Finance and Public Enterprises, and copied to the Office of the Audit-General dated 28 September 2018 was never responded to. She further, said all suspense accounts of the Ministry of Defence and Veteran Affairs were reconciled monthly.

5.3 Committee evaluation

The Committee took note of the accounting Officer's response. However, it noted with concern that the Accounting Officer has not resolved anddealt with the problem.

5.4 Committee recommendation

The Committee recommends that the Accounting Officer adheres to **Treasury Instructions Number BB 0101.**

6. Main Concern: Unauthorized expenditure

Compliance audit

The unauthorised expenditure mentioned below occurred during the financial year and is reported as such in terms of Section 27 (6) (a) of the State Finance Act, 1991 (Act 31 of 1991):

i. One (1) main division was exceeded with an amount of N$ 2 040 682.45, which is unauthorised in terms of Section 6 (a) (ii) of the Act, and

ii. Although Treasury approval was obtained to utilise certain expected savings for the defrayal of expenditure through virementation during the year, two (2) subdivisions were exceeded by a total amount of N$ 127 229 262.31, which is unauthorised in terms of Section 6 (a)(iii) of the State Finance Act (Act 31 of 1991). Despite the matter being raised in previous audit reports, no improvement was evident.

6.1 Question 6

The Accounting Officer was asked about control measures (e.g. commitment register) put in place to avoid overspending in the future. She was further requested to provide evidence of the correspondences to and from the Ministry of Finance and Public Enterprises in this respect.

6.2 Response by the Accounting Officer

Regarding the unauthorized expenditure, she explained that when foreign payments were processed through the Ministry of Finance and Public Enterprises, the difference usually arise depending on the date the request for payment was committed through the IFM system as opposed to the date of the actual payment. In other words, the unauthorised expenditures in most cases were due to a delay in payment which causes a difference in the calculation of the exchange rates. This would therefore result in the amount being committed in the system becoming less than the actual amount transferred by the Ministry of Finance and Public Enterprises.

The Accounting Officer agreed that an over expenditure of 0.03% and 0.33% respectively were incurred on the total budget and that rigorous control measures have been put in place since she assumed the position of Accounting Officer which commenced on 1 April 2021. However, the Committee noticed that unauthorised expenditures were incurred by the Ministry regardless of the rigorous measures put in place.

6.3 Committee evaluation

The Committee took note of the response by the Accounting Officer, however, measures put in place since she took over in 2021 were still not effective as unauthorized expenditures continued to occur in the financial years of 2021/2022 and 2022/2023. The reason provided for unauthorised expenditure amounting to N$ 127 229 262.31 was not satisfactory.

6.4 Committee recommendation

The Committee recommends that punitive measures be implemented for those who make themselves guilty of these offences. Furthermore, the Committee recommends that Section 6 (a) of the State Finance Act should be strictly adhered to.

iii. Main concern: Irregularity in Foreign Bank Account in the Democratic Republic of Congo

A Defence Attaché was appointed on 21 January 2014 and accredited to the Democratic Republic of Congo for a period of four years commencing on 01 March 2014 to 28 February 2018. During the year under review, there was no one appointed as a Defence attaché. This Mission has a bank account which is held at Standard Bank, Kinshasa. The closing balance at the end of the 2017/2018 financial year was US$ 28 438.83.

The audit found that a total expenditure of US$ 17 496.60 was incurred even though there was no Defence Attaché based in the Democratic Republic of Congo, during the 2018/2019 financial year. The auditors were not provided with documents on what the funds were spent on in the absence of a Defence Attaché at the mission. In his comment on the management letter, the Accounting Officer promised to assemble a team to the Democratic Republic of Congo to investigate the matter and compile a report.

In addition, auditors found that the Ministry of International Relations and Cooperation and the Ministry of Defence and Veteran Affairs used to borrow funds from each other when one or the other ministry has insufficient funds. However, no proper procedure for such approvals were sought from either of the Accounting Officers in the capital and nor from the Ministry of Finance and Public Enterprises.

6.5 Question 7

The Accounting Officer was requested to provide reason why she has not sent an investigative team to the Democratic Republic of Congo (DRC) as it was indicated that she would assemble a team to investigate the Defence Attaché bank account in that country.

6.6 Response by the Accounting Officer

The Accounting Officer replied that the COVID-19 pandemic, coupled with international travel restrictions prevented her from sending an investigative team to investigate the withdrawals made from the account of spousal allowance amounting to USD 17 496.60 in the Democratic Republic of the Congo. Therefore, no report was available.

The Accounting Officer also explained that despite the absence of the Defence Attaché, the Ministry was still obliged to pay for the rental of the residence, salary of the driver, vehicle maintenance and insurance which is deposited in the same bank account.

6.7 Committee evaluation

The Committee took note of the Accounting Officer's response. However, she did not explain the expenditure nor did she provide the requested report and the matter remains unresolved.

6.8 Committee recommendation

The Committee recommends that the Accounting Officer should account for the expenditure in DRC in detail and provide the investigation report.

7. Main concern: Stocktaking

The Accounting Officer reported that stocktaking was undertaken at stock points of the Ministry as required by Treasury Instruction KA0901. However, the amounts she reported are different from the amounts contained in the stocktaking report which resulted in a difference of N$ 201 720 913.11.

7.1 Question 8

The Accounting Officer was asked whether the difference of N$ 201 720 913.11 between what she reported and what was contained in the stock taking report was investigated. She was further requested to provide the Committee with the investigation report.

7.2 Response by the Accounting Officer

The Accounting Officer explained that the differences between what was reported by her and what was contained in the stocktaking report could not be investigated because of the COVID-19 pandemic, coupled with domestic travel restrictions as all stock control points were to be visited and reports to be verified against the reported stock. She indicated further that no report was available as yet, and will be made available to the Office of the Auditor-General and the Public Accounts Committee as soon as it was practically possible.

7.3 Committee evaluation

The Committee took note of the Accounting Officer's response. However, it is not satisfied with the response given by because the difference was not investigated and explained and she has not submitted a report to date.

7.4 Committee recommendation

The Committee recommends that the Accounting Officer should maintain accurate accounting records, accounts and other financial documents under her control and subsequently report the correct information as per the audit recommendations.

8. Main concern: Debts to Government

The Accounting Officer is required to submit a statement on debt owed to the State for the financial year under review. However, for the second consecutive year, she did not submit the statement in accordance with the reporting requirement of Circular D12/2018 of the Auditor-General. This is despite training been provided to officials of the Ministry of Defence and Veteran Affairs.

8.1 Question 9

The Accounting Officer was asked about measures put in place to ensure accountability of debt owed to the Government.

8.2 Response by the Accounting Officer

The Accounting Officer replied that the Ministry of Defence and Veteran Affairs requested and received training from the Office of the Auditor-General, specifically on the preparation of all audit statements in accordance with the reporting requirements of Circular DI 2/2018 of the Office of the Auditor-General. The challenges experienced to prepare the statement for Debt to Government was a thing of the past and the statement was then prepared in accordance with Circular D12/2018.

She further stated that capacity has been built through the training offered by the Office of the Audit-General and the Office had staff members to comply with all the requirements of Circular 1)12/2018 of the Office of the Auditor-General.

In other words, the Accounting Officer assured the Committee that staff members of the Ministry benefited from the training conducted by the Office of the Auditor General. However, sometimes because of staff shortage and the volume of deductions per month the exercise to record and reconcile all deductions becomes impossible as there is no dedicated staff to fulfill this responsibility.

8.3 Committee evaluation

The Committee took note of the Accounting Officer's response. However, it was noted that the Ministry did not comply with circular D 12/2018 of the Office of the Auditor-General with regard to debt to government.

8.4 Committee recommendation

The Committee recommends that the Ministry should fully comply with the requirements of the Auditor-General Circular D 12/2018.

9. Main concern: exemption from normal procurement procedures

Information was given regarding the operations of the Ndilimani Pilot-Technique (NPI) Project, as a non-profit organisation registered under the Ministry of Defence and Veteran Affairs with the aim of producing classified types of equipment and ammunition. No clarity was given whether once such equipment was produced, to whom that equipment would be sold to or whether such equipment and ammunition would be procured by the same Ministry. It was also clarified that the company which was a subsidiary of the holding company, August 26 was later deregistered and gazetted. The procedures to register a company is provided for under the Defence Act, section 14 which gives the Minister of Defence and Veteran Affairs the authority to establish factories and companies for the purposes of being self-sufficient.

However, questions were raised pertaining to Ndilimani Pilot-Technique (NPI). The date of registration, nature and operations of the company, directors and shareholders, bank account statements, signatories and whether the required exemptions were requested for and approved.

Section 4(1) of the Public Procurement Act, 2015 (Act 15 of 2015), states that the Minister may for a specified/unspecified period issue a general/specific exemption from the application of certain provisions that are not practical/appropriate for the procurement, hiring, letting or disposal of security related goods, works, services and property by the Namibian Defence Force (NDF). However, the audit found that an amount of N$ 5 000 000 was spent on small arms ammunitions for the NDF and payment for these goods were made from subdivision on support for non-profit organisations. It was also found that the supplier paid VAT to the amount of N$ 652 149.95 whilst the sub division refers to support for non-profit organisation.

9.1 Question 10

The Accounting Officer was asked to provide the Committee with the exemption request and approval granted by the Minister of Finance and Veteran Affairs on the purchase of ammunition.

She was additionally, requested to give explanation to the Committee on why the purchase of ammunition was made from the subdivision of Support for non-profit organisations.

Moreover, the Committee requested for a proof of deregistration date as well as deregistration certificate and the proposed duration of the project. Furthermore, additional information was requested regarding what funds amounting to N$5 million Namibia Dollars were used for after deregistration was completed as well as proof of the audited financial statement of NPI. Finally, the Committee requested to be enlightened on how much funds were appropriated and spent in each financial year since its inception.

9.2 Response by the Accounting Officer

The Accounting Officer informed the Committee that no exemption from normal procurement procedures was required from the Minister of Finance as per Section 4(1) of the Public Procurement Act, Act 15 of 2015, as the Ministry of Defence and Veteran Affairs followed the "Direct Procurement" method as provided for under Section 36 (1) and (2) of the Public Procurement Act, Act 15 of 2015.

Moreover, the Accounting Officer told the Committee that the Ndilimani Pyrotechnics Industries (NPI) was a project of the Ministry of Defence and Veteran Affairs, and was not subsidised by the Government of Namibia as in the case with other State Owned Enterprises (SOPs). However, and probably on wrong advice from the Ministry of Finance and Veteran Affairs, an amount of N$ 5.0 million was budgeted for on sub division 049- Support for Non-Profit Organisations. The Ministry of Defence buys small arms ammunition from the NPI project and is not regarded as support to a non-profit organisation.

9.3 Committee evaluation

The Committee took note of the Accounting Officer's response. However, it was noted that the Accounting Officer did not comply with the Procurement Act, Act no. 15 of 2015 as amended.

9.4 Committee recommendation

The Committee recommends that the Ministry must adhere to procurement procedures. Furthermore, the Committee recommends that the newly drafted Public Finance Management Bill must include punitive measures for non-compliance.

10.Key performance indicators (KPI) audit

10.1 Main concern: non-submittal of information

The auditors requested information for the Key Performance Indicator audit. The Accounting Officer refused to provide this information which resulted in audit scope limitation and which is contrary to Section 26(1) (i) (b) of the State Finance Act, Act 31 of 1991. The Office of the Auditor- General issued a disclaimer opinion in this regard.

The Ministry wrote a letter to the Secretary of Cabinet, Dr. G. Simataa seeking exemption from submitting information to the Office of the Auditor-General.

10.2 Question 11

The Committee asked the Accounting Officer why she refused to submit information requested by auditors on the proof of the actual output when the query emanated from their strategic and annual plan. The Committee also enquired whether an exemption not to provide information was granted by Secretary to Cabinet.

The Accounting Officer was further requested to provide the Committee with a written request and the approval granted by the Secretary to Cabinet.

10.3 Response by the Accounting Officer

The Accounting Officer referred the Committee to the content of a letter from the Executive Director of the Ministry of Defence and Veteran Affairs to the Secretary to Cabinet, dated 13 February 2019.The Accounting Officer further referred the Committee to a response letter from the Secretary to Cabinet, Dr G Simataa, dated 20 February 2019.

Moreover, she informed the Committee that the Office of the Auditor-General expressed "Qualified" audit opinions for both the (i) Financial Audit and the (ii) Compliance Audit and Audit of Performance Information in their draft audit report for the Ministry of Defence and Veteran Affairs for the 2018/2019 financial year. They then requesting the Ministry to give comment on the findings contained the draft report.

The Ministry of Defence responded to the draft audit report on 30 December 2019 as requested. In the Auditor-General's letter dated 27 February 2020, with subject "Feedback on Comments of the Report of the Auditor-General on the Accounts of the Ministry of Defence for the Year Ended 31 March 2019", the Office of the Auditor-General informed the Ministry that five (5) findings (paragraphs) were deleted, and ten (10) comments were incorporated in the final report.

To her surprise, when the final report was made available, the Office of the Auditor-General expressed a "Disclaimer" audit opinion on the Financial Audit, which is worse than the "Qualified" opinion expressed originally in the draft audit report, considering the number of findings which were deleted. The audit opinion expressed on the Compliance Audit and Audit of Performance Information remained "Qualified" as initially expressed in the draft audit report.

In this regard, it appears that the Accounting Officer should consider not commenting or responding to the draft audit report from the Office of the Auditor-General in future, fearing that the response in good faith to the draft audit report may result in the expression of a worse audit opinion.

10.4 Committee Evaluation

The Committee took note of the Accounting Officer's response including the submission of written request and the approval granted by the Secretary to Cabinet. However, the Committee believes there is room for improvement in terms of adherence to Section 26(1) (i) (b) of the State Finance Act (Act 31 of 1991).

10.5 Committee recommendation

The Committee recommends that in future, the Accounting Officer should grant auditors full access to information to enable them to perform and complete their work.

11.Conclusion

The Committee would like to express its appreciation for the full cooperation it received from the Accounting Officer and the management team of the Ministry of Defence and Veteran Affairs during the request for written responses and for proof of documents provided of which were submitted on the set deadlines as well as availing themselves to attend the public hearing. The Accounting Officer showed genuine willingness to cooperate with the Office of the Auditor-General in future when audits are to be conducted. It should however, be noted that the requests for documentary proof made during the public hearing were not responded at the time of compiling this report.

As per the audit report, the financials were provided timeously by the Accounting Officer to the Office of the Auditor-General in order for the audit to be conducted. It was therefore imperative that the necessary information and support documents are submitted in order to obtain clarity from the Ministry on the audit queries. The Committee would also like to emphasise that usually the time it takes to review, draft written questions and responses, review of responses, hold public hearings, drafting of the report and the tabling of the report is in general a lengthy process. The process was however further prolonged by the Covid-19 pandemic. The training conducted by the Office of the Auditor-General was helpful to Members as well as the assigned PAC Secretariat in order to comprehend the processes prior to inviting institutions for public hearings.

The Committee is hopeful that the mutual relationship between the Public Accounts Committee and the Office of the Auditor-General will continue to be cordial in order for the PAC to reach its ultimate goal of holding institutions where public funds are appropriated accountable. The Committee would also like to see that those audits carried out by private firms on parastatals and State Owned Enterprises such as the holding company under the Ministry of Defence and Veteran Affairs, namely August 26 are tabled in the National Assembly so that such reports are scrutinised by the Public Accounts Committee.

12. Additional recommendations

- That the Ministry of Defence and Veteran Affairs dispatches an audit team to the Namibian diplomatic mission in Kinshasa to provide the Committee with a comprehensive and conclusive report on the funds that are paid to an absentee spouse.
- That funds appropriated for expenditures related to the Defence Attaché should not be used for other activities of the general mission in the event that another ministry depletes its funds.
- That the foreign bank account statement be made available as part of the report.
- That dedicated staff be assigned to ensure that outstanding Subsistence and Travel Allowance claims are completed and processed timeously.
- That those staff members of the MoD finance division trained by the Office of the Auditor-General not deployed or reassigned to other directorates in order to maintain consistency.
- That funds for capital projects be separated from the training of personnel on the manufacturing of equipment.
- That a copy of the contract for the manufacturing of equipment through the capital project budget be availed to the Committee.
- That a clear vision, business plan and concept note be prepared prior to the registration of a company is developed to ensure that such exercises are done in a thoughtful process to prevent registration and deregistration of subsidiary entities to prevent wasteful expenditures and human resources.

- That the documents requested by the Committee should be submitted in time.
- That control measures be strengthened to improve the record keeping of the commitment register, maintain monthly reconciliation and to promptly follow up with suppliers to ensure that payments are settled before the end of each financial year.
- That an alternative unit be deployed to undertake stock taking process.

Members of the Committee

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Hon. Dudu Murorua	Hon. Helaria Mukapuli
Chairperson	Deputy Chairperson
.....	.....
Hon. Hamunyera Hambyuka	Hon. Vincent J. Mareka
.....	.....
Hon. Julieta Kavetuna	Hon. Leevi Katoma
.....	.....
Hon. Kennedy Shekupakela	Hon. Mathias Mbundu
.....	.....
Hon. Joseph Kauandenge	Hon. Emilia Amupewa
.....	.....
Hon. Annakletha Sikerete	Hon. Koviao Hengari

Hon. Fenni Nanyeni

Hon. Charmaine Tjirare

Hon. Elma Dienda

Hon. Nico Smit

Hon. Bernadus Swartbooi

Date

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